

Korea Internet

Naver Corporation

Rating

Outperform

Price Target

035420.KS

330,000 KRW



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Naver Q2: Wait, this can go asset-light

Well-known Q2 margin dip, but the real debate is what comes next. Naver reported Q2 results on August 7 (KST), with revenue of KRW 3.4tn (+16% YoY) and operating profit of KRW 520bn (-0.2% YoY), broadly in line with our estimates by 3%. The weak margin was largely driven by higher marketing spend at Naver Financial to accelerate offline payment adoption, with Financial segment margins falling to 3.0% from 5.8% in Q1. Q2 margins were no surprise. The key question is when Naver can offer a clearer roadmap for Neocloud.

Neocloud could be far more asset-light than investors expect, with the initial 200MW Phase 1 buildout structured around a brokerage-style model. Management shared the phase 1 to focus on proving the economics rather than maximizing near-term returns, while its long-term margin target is 20%+. With investors looking for greater visibility on project economics, we believe the next stock catalyst to be the announcement of an anchor customer and contract details, which we expect Q4 or afterwards. In our view, confirmation of an anchor customer contract, alongside approval of the Dunamu stock swap deal, could strengthen project financing and credit metrics, lowering funding costs and paving the way for future capacity expansion for the next phase buildout.

Platform margins are taking the hit because Commerce remains the priority. Platform margin fell to 28.5% in Q2, extending the decline from Q1. While investors (and us) question whether Naver's focus could shift elsewhere, the CEO reaffirmed that Commerce remains a strategic pillar given its close link to ad monetization. Smart Store GMV grew 16% YoY in Q2, outpacing the market growth, helping drive 12% Platform revenue growth.

Proprietary commerce data could be Naver's AI moat. Naver's Smart Store merchant & user data, combined with offline consumer data from N-Connect, creates a differentiated commercial dataset that can support AI monetization and ecosystem expansion over time. While Naver guided for continued margin pressure from N-Connect's offline expansion through H2, we see the investment as strengthening its long-term platform layer advantage.

Investment Implications

We have **Outperform** rating on **Naver**. While our initial stance was largely valuation-driven, we are increasingly positive on the stock with its transition toward B2B infra layer.

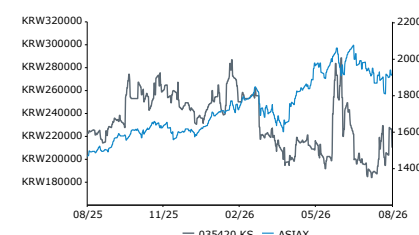
Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
035420.KS (KRW)	13,065	13,911	15,691	Net Earnings (M)	1,953*	2,081*	2,347*	9.6%	Adjusted P/E (x)	16.2	15.2	13.4
OLD	--	14,068	15,783	Operating Earnings (M)	2,208*	2,225*	2,590*	8.3%	EV/EBIT (x)	13.8	13.7	11.8
				Revenues (M)	12,035*	13,417*	15,553*	13.7%	EV/Sales (x)	2.5	2.3	2.0

*Values shown in billions; Source: Bloomberg, Bernstein estimates and analysis.

Close Date	7 Aug 2026
035420.KS Close Price (KRW)	211,000
Price Target (KRW)	330,000
Upside/(Downside)	56%
52-Week Range	308,500/181,100
ASIAX	1,914.02
FYE	Dec
Div Yield	1.2%
Market Cap (KRW) (B)	33,115.24
EV (KRW) (B)	30,492.06
Performance	YTD 1M 6M 12M
Absolute (%)	(13.3) 12.9 (15.8) (8.1)
ASIAX (%)	17.0 (1.7) 8.0 30.6
Relative (%)	(30.4) 14.6 (23.8) (38.7)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

NAVER Q2: THIS CAN GO ASSET-LIGHT

EXHIBIT 1: Naver: Q2 2026 earnings summary

Naver Q2 2026 results			Delta		Growth YoY	
		Q2 2026	vs. Bern	vs. Cons	Actual	Cons
Revenue	Actual	3,388.8	2.6%	0.4%	16.3%	15.8%
	Bernstein	3,303.9				
	Consensus	3,374.6				
Operating profit	Actual	520.3	-2.6%	-7.4%	-0.2%	7.7%
	Bern. Est.	534.1				
	Consensus	561.8				
Operating margin	Actual	15.4%	-5.0%	-7.8%	-14.2%	-6.9%
	Bern. Est.	16.2%				
	Consensus	16.6%				
Net profit	Actual	698.6	47.3%	40.6%	42.9%	1.6%
	Bernstein	474.4				
	Consensus	496.7				
EPS	Actual	3,579.6	0.5%	2.4%	10.9%	8.3%
	Bernstein	3,561.0				
	Consensus	3,495.1				

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

EXHIBIT 2: Naver: Q2 2026 earnings summary

Segment revenue	Actual Q2 2026	Growth YoY	Bernstein Q2 2026	Delta	Consensus Q2 2026	Delta
Total revenue	3,388.8	16.2%	3,304	2.6%	3,375	0.4%
Naver Platform	1,902	12.3%	1,893	0.5%	1,919	-4.2%
Ads	1,447	7.5%	1,467	-1.4%	1,460	-4.5%
Services	455	31.3%	426	6.9%	455	-2.1%
Financial Platform	471	16.0%	476	-1.1%	478	-3.8%
Global Opportunities	1,016	24.4%	935	8.7%	978	-3.7%
C2C	398	74.9%	361	10.1%	357	-1.8%
Contents	464	0.5%	439	5.9%	468	-6.1%
Enterprise	154	21.3%	135	13.6%	153	-1.9%

Segment operating profit	Actual Q2 2026	Growth YoY	Bernstein Q2 2026	Delta	Consensus Q2 2026	Delta
Total operating profit	520	-0.2%	534	-2.6%	562	-3.6%
Operating margin	15.4%		16.2%	-5.0%	16.6%	0.4%

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

UPDATING OUR ESTIMATES FOR NAVER

We've updated our estimates for Naver to reflect Q2 reporting. Our estimates for operating profit are slightly lower versus prior levels. Exhibit 3 shows a summary of our estimate changes. We slightly trimmed our 2026-2028 EPS estimates by 1%, reflecting margin dilution from Naver's increased focus on Commerce and Fintech. Our latest summarised projections for the company are shown at the back of this note.

EXHIBIT 3: Naver: Summary of estimate changes

Summary of estimate changes	2026E	2027E	2028E
Revenue			
Bernstein - Old	13,530	15,519	18,736
Growth YoY	12.4%	14.7%	20.7%
Bernstein - New	13,417	15,553	18,860
Growth YoY	11.5%	15.9%	21.3%
Consensus	13,747	15,452	17,490
Growth YoY	13.7%	12.4%	13.2%
New vs. old	-0.8%	0.2%	0.7%
New vs. consensus	-2.4%	0.7%	7.8%
Operating income			
Bernstein - Old	2,239	2,613	3,059
Growth YoY	1.4%	16.7%	17.0%
Margin	16.5%	16.8%	16.3%
Bernstein - New	2,225	2,590	3,054
Growth YoY	0.8%	16.4%	17.9%
Margin	16.6%	16.7%	16.2%
Consensus	2,365	2,768	3,148
Growth YoY	7.5%	17.1%	13.7%
Margin	17.2%	17.9%	18.0%
New vs. old	-0.6%	-0.9%	-0.2%
New vs. consensus	-5.9%	-6.4%	-3.0%
EPS			
Bernstein - Old	14,068	15,783	18,114
Growth YoY	620.3%	12.2%	14.8%
Margin	22.6%	22.4%	0.0%
Bernstein - New	13,911	15,691	18,196
Growth YoY	612.2%	12.8%	16.0%
Margin	25.6%	23.5%	23.1%
Consensus	12,281	14,942	16,879
Growth YoY	483.9%	21.7%	13.0%
Margin	13.8%	15.0%	15.0%
New vs. old	-1.1%	-0.6%	0.4%
New vs. consensus	13.3%	5.0%	7.8%

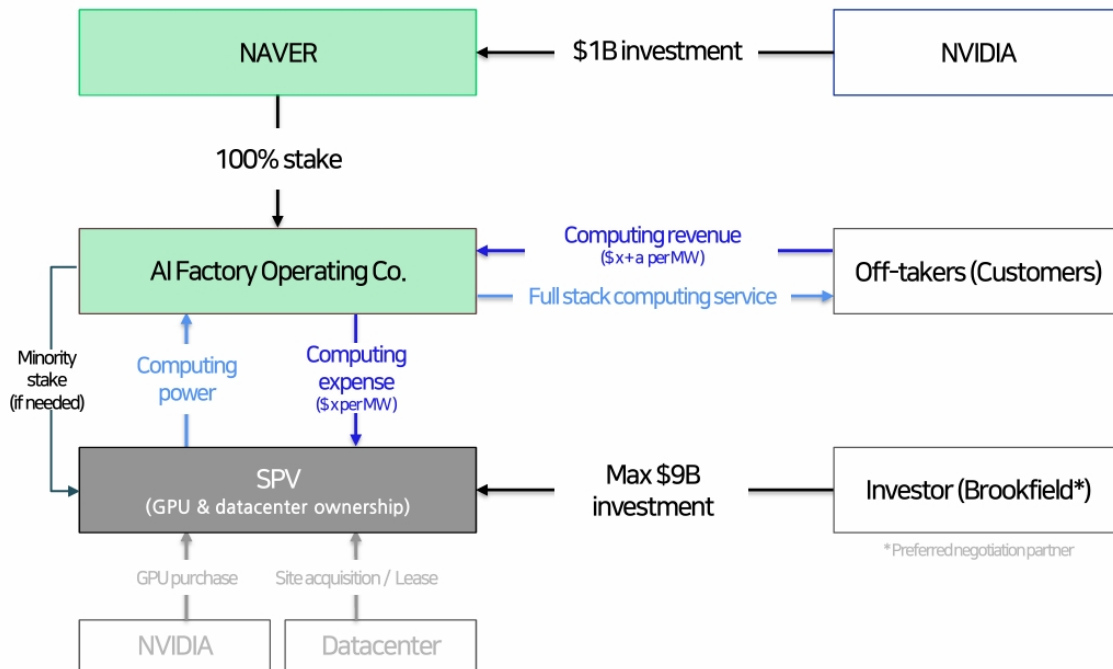
Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

REPORTING IN CHARTS

EXHIBIT 4: **Naver Neocloud resembles an AI-driven brokerage model rather than a capital-intensive data center business.**

NAVER AI Factory Phase 1 200MW Business Structure (Plan)

- As a result of NVIDIA's investment into NAVER, NAVER to consolidate AI Factory Operating Co. with 100% stake
- Brookfield to invest up to \$9B into SPV and hold majority stake in SPV



Source: Corporate reports, Bernstein analysis.

EXHIBIT 5: NVIDIA's investment in Naver could help secure a more stable GPU supply for Neocloud, supporting its long-term expansion.

		CRWW	IREN	NBIS	NAVER
Foundation	Real estate ownership	Mostly leased, self-building	Mostly owned	Mixed, self-building	Mixed, Initial 200MW leased, later own data centre and greenfield SPVs
	Scale: Power pipeline	c.1GW+ active, 3.1 GW contracted	810MW active, 4.5 GW expected grid-connected power	2GW+ contracted, 3GW+ anticipated by end of 2026	55MW live in 2027, 200MW first phase, roadmap toward 1GW by 2031
	Stage and operating History	Most mature, IPO March 2025	Still pivoting	~18 mo behind CRWW (restarted mid-2024)	Early build-out; pivoting from legacy cloud to AI factory with phased roll-out
Commercial model	Stack depth (HW + Software)	Most sophisticated GPU cloud+orchestration, SemiAnalysis Platinum	Bare metal GPU hosting, IaaS Only	GPU cloud + orchestration, SemiAnalysis Gold; broader managed services	GPU centric AI factory plus Naver software stack, Hyper Clova X and joint R&D with NVDA sovereign AI positioning
	Revenue type (on-demand vs. contracted)	Almost fully contracted	Almost fully contracted ¹	Mixed, shifting contracted	First 200MW designed as fully leased with a single anchor customer
	Revenue backlog & Demand visibility	c. \$100B	\$9.7B ¹	\$ 47B ²	Not disclosed; management guides to fully contracted 200MW and multi-year sovereign/enterprise pipeline
	Customer profile & concentration	Most diversified	100% MSFT Backlog	MSFT + META represent ~63%	High initial concentration in one 200MW anchor client
Capital structure & Investors	Funding mechanics ³	SPV+debt secured against hyperscaler contracts; cost of debt 8.2%	MSFT deal as collateral, project-finance style borrowing, cost of debt 0.8%	Contract-backed debt, cost of debt 1.4%	SPVs with GPU-collateralized debt and project bonds, layered with Korean policy-bank loans and partner equity
	Leverage ⁴ & balance sheet	Most leveraged 5.9x	Moderately leveraged 1.2x	Strongest balance sheet given equity optionality	Targeting low reported leverage by ring-fencing SPV debt
	Notable investors	NVDA 11.3%	Awassi Capital hold 4.2%	NVDA 0.5%	NVDA c.5%

Note: 1. Only shows MSFT deal, excludes on-demand revenue 2. MSFT Deal \$17.4B + Meta Deal \$27B (\$12B + \$15B Backstop), incremental AI backlog is not disclosed 3. Based on CY2025 interest expense and CY-end debt levels (inclusive of finance leases) 4. 2025 Leverage (Net Debt/Adj. EBITDA).

Source: Company filings, Bernstein estimates and analysis.

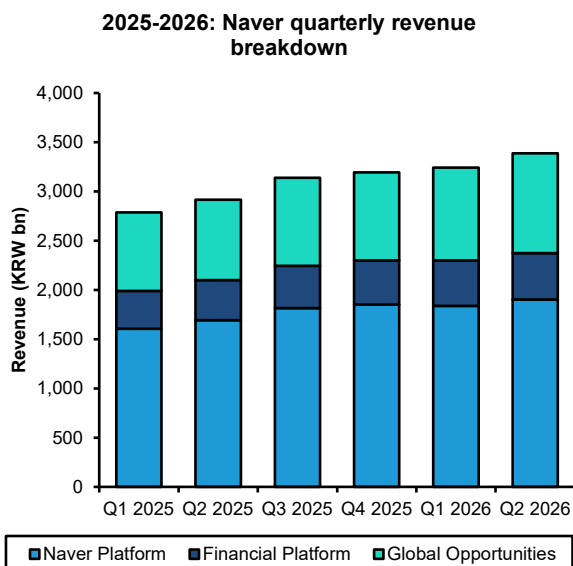
EXHIBIT 6: As we have previously highlighted, management emphasized that the first phase of the 200MW buildout is focused on validating the economic viability of the project.

	Phase 1: 200MW lease	Phase 2: 200MW owned	Phase 3: 600MW hybrid
Capacity & ownership	200MW (Existing leased sites)	200MW (Owned, Sejong expansion)	600MW (lease + owned/greenfield mix)
Asset ownership	DC leased GPUs owned by SPV	Owned DC, GPUs owned by SPV, Naver owns OperatingCo SPV	Mix of leased, owned domestic, and owned foreign SPVs
Naver equity role	Roughly 1 B USD in SPV	Additional equity in Operating Co; domestic focus	Smaller per-project equity; PropCo (infra SPV) + OperatingCo (Naver 51%)
Funding mix	c.10B USD capex: 1 B NVIDIA, 9B project debt, Naver's direct investment remains undecided.	Sovereign/policy loans + project bonds + equity	Project finance, local partners, policy support, export-oriented capital
Contract model	Single anchor customer, 200MW take-or-pay	Additional capacity can be allocated to the anchor client	Portfolio of sovereign AI, hyper-scalers, regulated enterprises
Balance sheet impact	Most debt ring-fenced; expense flows through P&L	Still ring-fenced, but more owned assets; policy lowers cost of capital	Portfolio of off-BS SPVs, with Naver consolidating mainly operating entities
Strategic role	Prove economics	Establish Naver as domestic sovereign AI operator	Build regional AI platform and export AI DC solutions

Disclaimer: The Phase 1-3 AI data center roadmap presented in this report is based on our analysis of publicly available information and discussions with industry participants. As Naver has not provided comprehensive public details on the project, certain assumptions have been made regarding the timing, ownership structure,

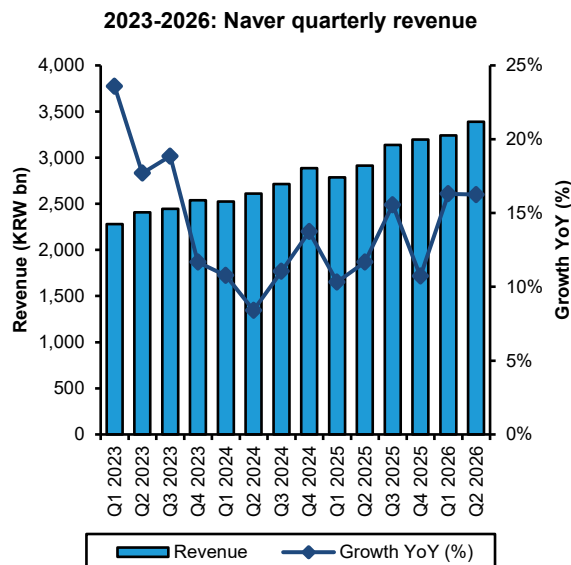
financing approach, customer profile, and capacity expansion plans. As the project evolves, actual outcomes may differ from the scenarios outlined in this note. The Phase 1-3 framework should therefore be viewed as our analytical assessment rather than official company guidance.
Source: Bernstein analysis.

EXHIBIT 7: Naver reports revenue across three segments: Naver Platform, Financial Platform, and Global Opportunities, which include C2C, content, and enterprise.



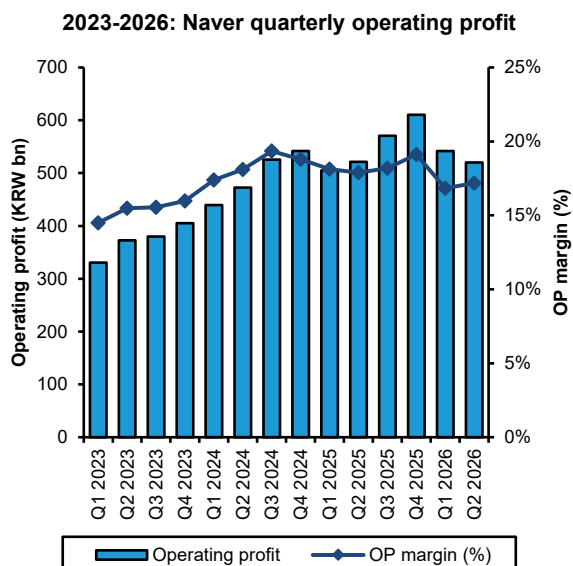
Source: Corporate reports, Bernstein analysis.

EXHIBIT 8: Naver posted Q2 revenue of KRW 3.3trn (+16% YoY), with a Platform revenue (+12%) coming from its strong Commerce segment.



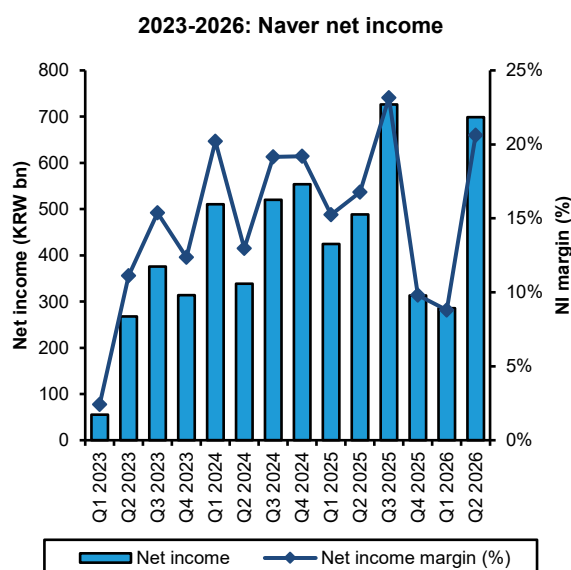
Source: Corporate reports, Bernstein analysis.

EXHIBIT 9: Naver's operating margin came under pressure as both Platform and Financial margins diluted.



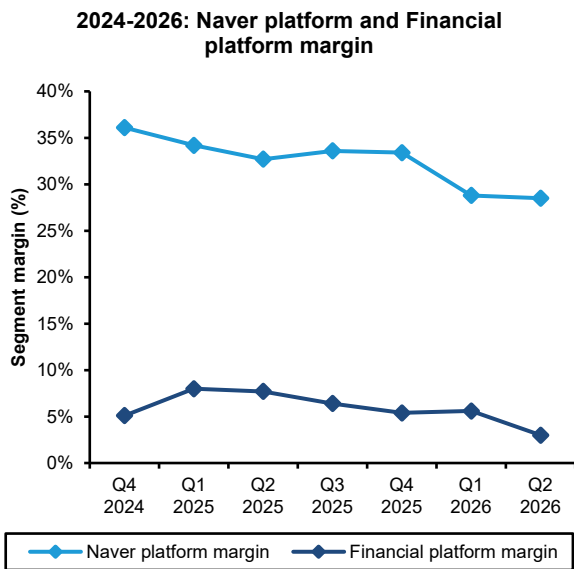
Source: Corporate reports, Bernstein analysis.

EXHIBIT 10: 2Q net profit rose 41.6% YoY, supported by higher equity-accounted earnings and gains from financial instruments.



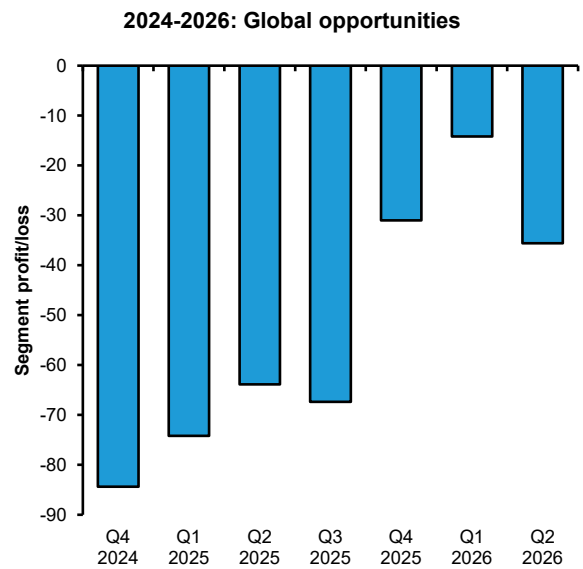
Source: Corporate reports, Bernstein analysis.

EXHIBIT 11: **Naver Platform margin was 28%, we think this is mainly coming from its Commerce push.**



Source: Corporate reports, Bernstein analysis.

EXHIBIT 12: **Losses in Naver's newer initiatives - including C2C commerce, Webtoon, and cloud - widened in Q2.**



Source: Corporate reports, Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: Naver: Income Statement

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue	6,818	8,220	9,671	10,738	12,035	13,417	15,553	18,860	23,051
Operating, general and administrative	-5,492	-6,915	-8,182	-8,758	-9,827	-11,192	-12,963	-15,807	-19,474
Operating profit	1,325	1,305	1,489	1,979	2,208	2,225	2,590	3,054	3,578
Profit before tax	2,126	1,084	1,481	2,322	2,420	2,644	2,963	3,432	3,956
Income tax expense	-649	-411	-496	-390	-601	-540	-593	-686	-791
Net Income	1,478	673	985	1,932	1,819	2,104	2,370	2,745	3,165
Net profit attributable to SHs	1,490	760	1,012	1,923	1,953	2,081	2,347	2,722	3,141
EPS	10,004	5,075	6,414	12,758	13,065	13,911	15,691	18,196	20,994

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 14: Naver: Balance Sheet

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Cash & cash equivalents	3,455	3,941	4,385	7,055	8,321	11,393	13,345	16,337	19,827
Accounts receivable	1,455	1,540	1,724	1,655	1,690	2,344	2,746	3,362	4,080
Other current assets	618	959	919	664	918	1,044	1,223	1,497	1,817
Total current assets	5,528	6,440	7,028	9,375	10,929	14,781	17,314	21,196	25,724
Investment assets	24,612	22,337	21,262	20,918	21,369	22,849	22,849	22,849	22,849
Tangible assets	2,111	2,458	2,742	2,910	3,608	4,624	5,672	6,969	8,653
Right of use assets	290	739	692	318	922	1,032	1,032	1,032	1,032
Other non-current assets	1,150	1,926	4,015	4,648	4,229	6,044	7,857	9,993	12,599
Total assets	33,691	33,899	35,738	38,168	41,057	49,329	54,723	62,039	70,857
Accounts payable	628	893	1,308	997	978	1,339	1,569	1,920	2,330
Advance received	374	416	498	568	787	829	971	1,189	1,443
Income tax payable	515	353	321	364	371	293	343	420	509
Short-term borrowings	0	0	250	0	1,597	319	356	402	458
Other current liabilities	2,406	3,819	3,929	4,163	4,255	5,195	5,195	5,195	5,195
Total Current Liabilities	3,923	5,481	6,306	6,092	7,988	7,975	8,434	9,125	9,935
Long-term debt	1,637	1,705	1,656	2,007	382	1,811	2,022	2,278	2,597
Long-term operating lease obligations	206	589	519	388	955	1,016	1,016	1,016	1,016
Other non-current liabilities	3,898	2,674	3,020	2,680	2,774	3,278	3,278	3,278	3,278
Total liabilities	9,664	10,449	11,500	11,167	12,099	14,080	14,750	15,697	16,826
Shareholders' equity	24,027	23,450	24,238	27,001	28,958	35,249	39,973	46,342	54,030
Total liabilities & shareholders' equity	33,691	33,899	35,738	38,168	41,057	49,329	54,723	62,039	70,857

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 15: Naver: Cash Flow Statement

KRW billion	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Net (loss) income	1,478	673	985	1,932	1,819	2,104	2,370	2,745	3,165
Depreciation & amortization	127	157	174	172	183	310	370	445	505
Changes in working capital	265	298	-4	283	-129	-41	-73	-97	-107
Other	-182	-64	116	-100	728	0	0	0	0
Cash flow from operations	1,688	1,065	1,271	2,286	2,600	2,372	2,667	3,093	3,562
Capex	-125	-190	-113	-193	-566	-265	-295	-368	-481
Other	180	-302	447	-472	547	547	547	547	547
Cash flow from investments	55	-492	334	-666	-19	282	251	179	65
Cash flow from financing	10,872	-497	-183	-1,133	-559	-1	84	100	120
Net effect of exchange rate changes	-88	45	-90	140	-39	-518	-518	-518	0
Net change in cash	12,528	121	1,331	627	1,983	2,135	2,485	2,854	3,747
Beginning cash	3,846	2,781	2,902	4,233	4,860	6,843	8,978	11,463	14,317
Ending cash	16,373	2,902	4,233	4,860	6,843	8,978	11,463	14,317	18,065

Source: Corporate reports, Bernstein estimates and analysis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	7 Aug 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
035420.KS (Naver)	O	KRW	211,000	330,000	(38.7)%	KRW	13,065	13,911	15,691	16.2	15.2	13.4
OLD								14,068	15,783			
ASIAx			1,914.02									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Naver Corporation**

We have valued Naver at a price target of KRW 330,000 based on a DCF valuation method, implying one year forward PER of 20x (Q2 2027-Q1 2028). (DCF assumptions: WACC=12%, Terminal growth rate: 2%; Risk-Free Rate of Return (Rf) = 3.6%, Market Risk Premium (Rm - Rf) = 17%, Beta = 0.7).

RISKS**Naver Corporation**

Downside risk: Weaker-than-expected e-commerce GMV growth; faster-than-expected user engagement decline in the traditional search domain; government disapproval of the stock swap with Dunamu; Utilization shortfall of AI datacentre.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

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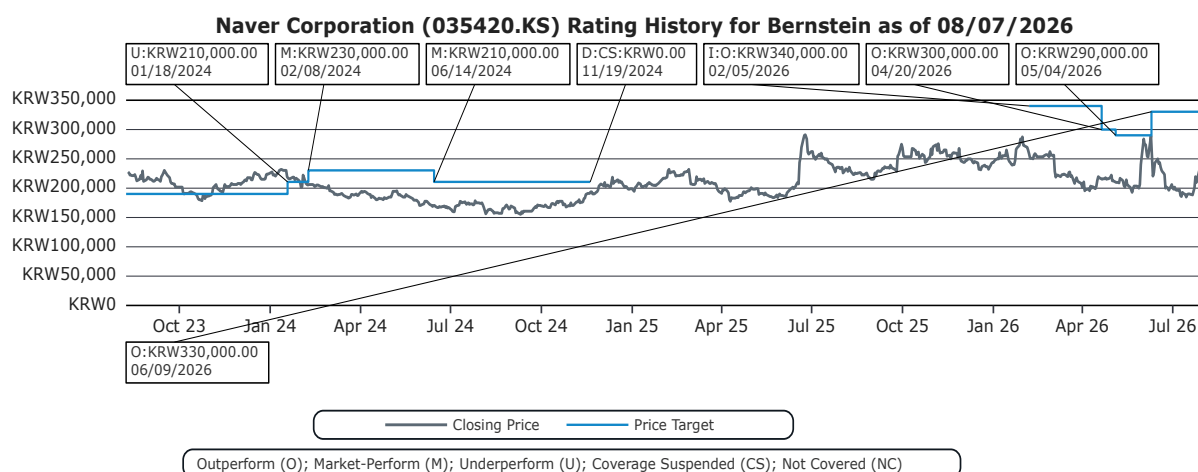
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